

[COMPANY NAME]
HUMAN RESOURCES POLICY

PERFORMANCE MANAGEMENT POLICY

Policy No.	HR-POL-006	Effective Date	01 August 2026
Version	1.0	Review Cycle	Annual
Owner	Human Resources Dept.	Approved By	Chief Human Resources Officer
Applicability	All confirmed employees		

1. Purpose

This policy establishes a fair and structured framework for setting expectations, evaluating performance, and supporting the growth of employees at [Company Name].

2. Scope

This policy applies to all confirmed, full-time employees. Employees on probation are evaluated separately under the Recruitment & Onboarding Policy's confirmation process.

3. Performance Cycle

- The performance year runs from 1 April to 31 March.
- The cycle includes goal-setting, a mid-year review, and an annual review, supplemented by ongoing informal feedback.

4. Goal Setting

- At the start of the cycle, employees and managers jointly define SMART (Specific, Measurable, Achievable, Relevant, Time-bound) goals aligned with team and organizational objectives.
- Goals are documented in the performance management system within 30 days of cycle start.

5. Review Process

5.1 Mid-Year Review

- A checkpoint conversation between employee and manager to assess progress, address roadblocks, and recalibrate goals if needed.

5.2 Annual Review

- Employees complete a self-assessment, followed by manager evaluation against defined goals and core competencies.
- Ratings are calibrated across teams by department heads and HR to ensure consistency.

6. Rating Scale

- Outstanding — Consistently exceeds expectations.
- Exceeds Expectations — Regularly surpasses key goals.
- Meets Expectations — Fully achieves role expectations.
- Needs Improvement — Partially meets expectations; a development plan is required.
- Unsatisfactory — Does not meet expectations; a Performance Improvement Plan (PIP) is mandated.

7. Performance Improvement Plan (PIP)

Employees rated 'Needs Improvement' or 'Unsatisfactory' will be placed on a formal Performance Improvement Plan for a period of 30 to 90 days, with clearly defined targets, support measures, and review checkpoints. Failure to meet PIP objectives may result in further HR action, up to and including separation.

8. Linkage to Rewards

Annual performance ratings inform decisions on merit increments, bonus payouts, and promotions, in accordance with the Company's Compensation & Benefits Policy.

9. Employee Rights

- Employees may seek clarification on their rating from their manager and escalate unresolved disagreements to HR.
- All reviews must be documented and shared with the employee; ratings cannot be finalized without employee visibility into the assessment.

10. Policy Review

This policy is reviewed annually by Human Resources to ensure continued alignment with business goals and best practice.

Prepared By: _____ HR Business Partner	Approved By: _____ Chief Human Resources Officer
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